

Open it up

ARGUMENTS AROUND INTELLECTUAL PROPERTY (IP) RIGHTS ARE RIDDLED WITH AN EQUAL AMOUNT OF FACTS AND PLEONASM-RIDDLED FIBS.

On one hand, there's a lot of money pooled into generating IPs so obviously, entities producing said IPs want to make good on their investments. And on the other hand, you have the opportunity to spread new technologies and innovations to the world and help everyone progress better.

We saw a couple of different IP-related developments across the world over the last couple of months. Let me quickly summarise them.

Case 1 – AV1 and VP9 are royalty-free codecs, as per the Alliance for Open Media (AOMedia) and Google, the companies behind the video codecs. If you've watched a video on any of the major video streaming platforms such as YouTube, Netflix, etc. or even watched a movie on your home theatre system, then you've got AV1 and VP9 to thank for that superior video quality along with cutting edge compression. Companies such as Netflix have gone ga-ga over the fidelity-retention capabilities of said codecs. Earlier last year, a company called Sisvel sought out to put an end to AV1 and VP9 being termed royalty-free. They've put forth statements alleging that they hold patents to some of the underlying technology that both codecs rely on. Litigations will soon begin and based on the outcome, every single video service could end up being a little more expensive.

Case 2 – Right to Repair is a massive movement that has been gaining steam in the US and other countries. Product manufacturers have been allegedly practising planned obsolescence with impunity and building devices that are extremely difficult to repair. Customers are but always forced to pay exorbitant amounts to get these products repaired or replaced by the manufacturer or authorised repair stores. Apple and John Deere are notorious for this. Both companies argue that cheap replacements and unauthorised repairs could pose danger to the customers but a recent report by the FTC found scant evidence to support these claims. It would seem that these companies are just out to milk their customers for every single rupee.

Case 3 – Initially, the Jenner Institute at Oxford wanted to donate the rights to manufacture the Covid-19 vaccine to anyone and everyone that had the capability to manufacture it. The Gates

Foundation urged it to keep the vaccine private and work with a large manufacturer instead. Thus, was born the Oxford-AstraZeneca partnership for the ChAdOx1 vaccine. The agreement was initially not-for-profit and funding poured in from government agencies to accelerate development. This was followed by funding from organisations such as CEPI and Gavi to secure millions of doses for equitable distribution in low-income and under-developed countries. This was in July 2020. As of early May 2021, vaccination (first dose) percentages (along with doses administered in millions) of countries are as follows US (45%, 251m), India (9.6%, 162m), U.K. (52%, 51m), Brazil (15%, 46m), Germany (32%, 33m), Nigeria (0.6%, 1.2m), Kenya (1.6%, 0.8m), Vietnam (0.7%, 0.7m) and Uganda (0.8%, 0.4m). Does this look equitable? Clearly not.

In the first case, we're looking at IP pertaining to primarily entertainment, a luxury. In the second case, we have IPs that affect everyone with a phone and food production, and in the last case, we have people's lives at stake. Although what Sisvel has done is outright scummy, I don't see that as much of a problem since the impact on everyone is minimal. These licenses add just a few rupees to your Netflix subscriptions. However, with Right to Repair, we're seeing freedom being taken away from users for products they have already paid for. Think of it as being forced into a subscription when you really shouldn't have to.

With vaccines, the argument is more nuanced. You can't have vaccines being produced by manufacturers who can't ensure quality. There have already been instances of blood clots in few tens of people being administered properly manufactured vaccines, imagine what would happen if millions of people develop adverse reactions due to improper manufacturing. However, we haven't gotten to that level yet. As of now, there are facilities capable of producing vaccines properly but aren't able to. The global production capacity of 290 million doses/month could be expanded to nearly 1 billion doses/month if the Covid vaccines were to be shared with all who can manufacture them properly.

Like most IP debates, each case has to be judged on its own merits and demerits. And in the case of the Covid-19 vaccines, most of us would prefer relaxation of IP rights over a few billion dollars in profits. What do you think? 



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